



PLANNING A BUDGET

DO YOU REALLY NEED A BUDGET?

RABBI MENDEL DUCHMAN

PERSONAL FUNDRAISING COACH FOR
SHLUCHIM, FOUNDER OF PADYOM

Written by Mrs. Nechamie Margolis

Most shluchim cringe when they hear the word “budget.” It has the connotation of cutting back, restricting growth and movement. That assumption couldn’t be further from the truth. A budget can be your most powerful tool in maximizing your resources and is your GPS to success as a shliach. Simply put, if you fail to plan, you are planning to fail.

In today’s world, a budget is more of a necessity than ever before. It is a transparent world and your baal habatim want to know every detail of where their contributions are going. It is not enough to assure them that the money will be well spent. They want to see a detailed account of expenditures. By having a comprehensive budget in place, a shliach can avoid potentially uncomfortable situations. In addition, having a budget helps one develop a vision, plan future activities, and avoid accumulating unnecessary debt.

HOW TO CREATE A BUDGET

The easiest way to start creating a budget is to grab a pen and paper and take a mental walk through your day. Since you're sitting in your home or office, begin by calculating your monthly mortgage or rent payments. Include all expenses involved in the home: a second mortgage, taxes and insurance, maintenance bills, and utilities. Write your monthly bills in one column and the day they are due in another.

Next, begin to assess your transportation requirements. Write down all car payments, insurance, gas and tolls.

No budget is complete without calculating the average monthly food expenses, plus the cost of the regular programs that you run. Once you calculate these totals, add an extra 10–15 percent to account for unexpected expenses. Then, divide the expenses into twelve monthly increments.

In another column, calculate the fixed income that might include a Talmud Torah or school and estimate the variable income expected to come through from donations. In an ideal situation, the expenses and income should balance each other out. If they don't, you have a realistic sense of how much you need to fundraise.

BUDGETING TOOLS

Your tools can be as simple as a pen and paper or an easy-to-manage program like QuickBooks. Even for those who aren't computer savvy, a program like QuickBooks or Chabad Management System lets you just plug in the right numbers while it does the rest. The important thing is to get those numbers down so that you have clear direction.

(YOU DON'T HAVE TO) STICK TO A BUDGET

Budgeting is about process, not necessarily about strictly keeping to the numbers. All budgets are wrong—you are making an educated guess about the future that won't necessarily be on target. Yet, once you have a plan in place, you can adjust it as necessary. Even if you have no hope of ever meeting your budget, creating one helps you make a

HOW TO MAKE A BUDGET



1 Grab a pen and paper and begin by calculating your monthly mortgage/rent costs.



2 Next, assess all car payments, insurance, gas and tolls.



3 Calculate your average monthly food expenses, plus the cost of your regular programs.



4 Add an extra 10–15 percent to account for unexpected expenses. Then, divide the expenses into twelve monthly increments.



5 In another column, calculate any fixed income and estimate the expected income from donations. Ideally, the expenses and income should balance each other out. If they don't, you have a realistic sense of how much you need to fundraise.

fundraising plan for the future that will enable you to transcend your current financial situation.

CUTTING YOUR BUDGET

The most difficult thing to tell a shliach is to cut his budget; each program run by a shliach seems indispensable. The best way to cut a budget is to go through the list of expenses and see if any of your baal habatim has a service to offset costs. For example, if buying tablecloths is a large monthly expense and you have a baal habayis that deals with tablecloths, you can cut a large portion off your budget. If you cannot cut your budget in that manner, then it is good to try and shop around for the most competitive prices. The last resort is to temporarily cut programs that are not absolutely essential.

APPROACHING BAAL HABATIM WITH A BUDGET

After creating a budget, you can create credibility by having your budget approved by an accountant. Then, budget in hand, you can begin solicitation. Without the financial picture, you are facing a dead-end.

There was a shliach in Colorado who

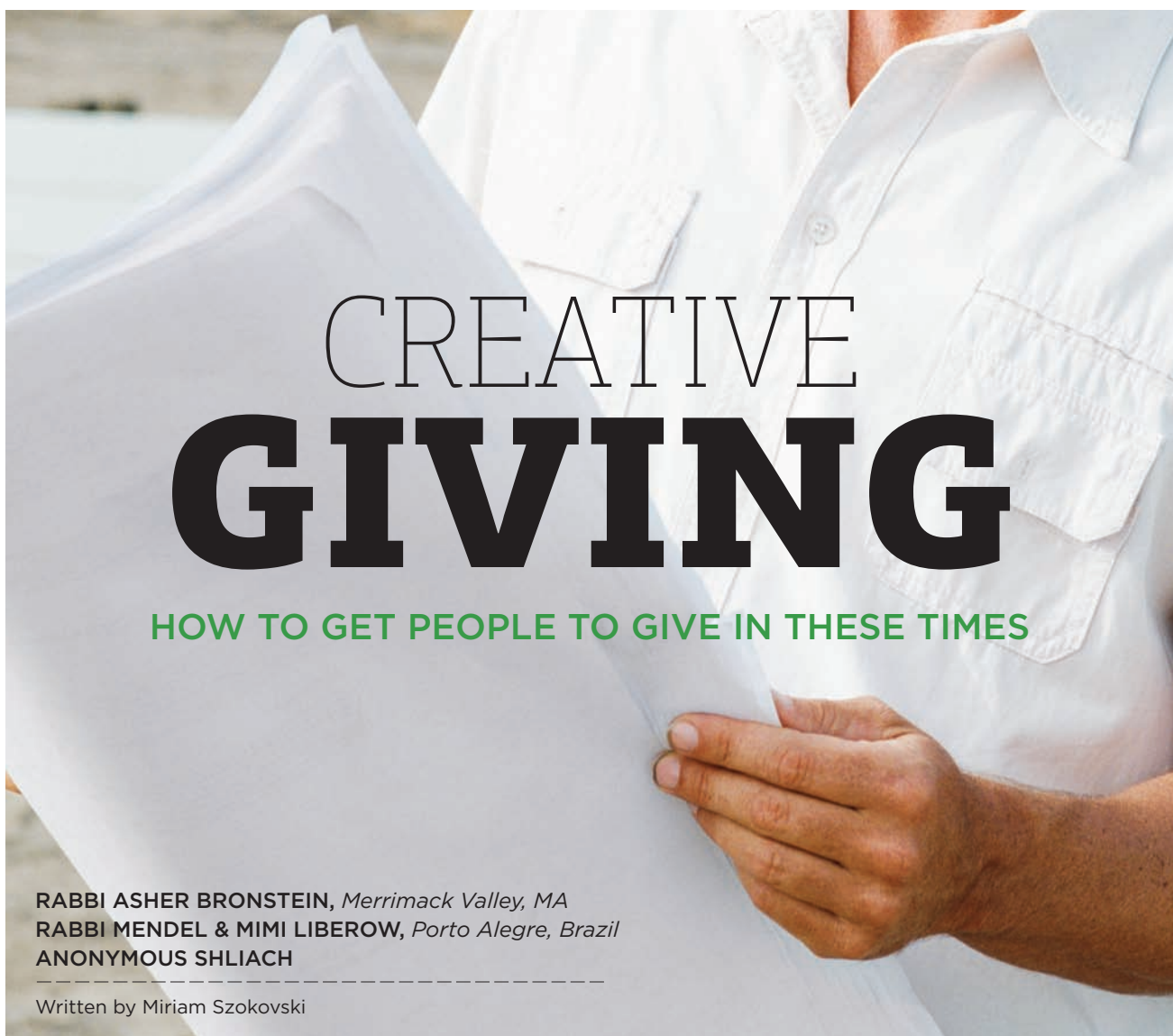
had a beautiful *mossad* and was very successful. However, he was always on the defensive when baal habatim would begin questioning him about expenses. Once he created a budget, however, he was able to calmly face the formerly uncomfortable queries. One supporter, upon looking at his proposed budget, noticed that the shliach hadn't budgeted for office supplies and offered to buy the shliach a new computer.

Many shluchim are afraid to establish debt, but a debt ratio can be on a budget. Baal habatim will respect debt in a budget and are more likely to help pay for it when they see it clearly in print.

BENEFITS OF A BUDGET

In my coaching experience, I taught a particular shliach about creating a budget. Several months later, I received a letter thanking me for helping him. He wrote that for the first time in years, his family was able to have meat on the Shabbos table instead of tuna. Another shliach thanked me for giving him eye glasses. Thanks to his budget, he said, he was no longer "in the dark!" 

TIP: Additional Resources:
www.mint.com



CREATIVE GIVING

HOW TO GET PEOPLE TO GIVE IN THESE TIMES

RABBI ASHER BRONSTEIN, *Merrimack Valley, MA*
RABBI MENDEL & MIMI LIBEROW, *Porto Alegre, Brazil*
ANONYMOUS SHLIACH

Written by Miriam Szokovski

All shluchim are feeling the effect of the current economic slump. People are cutting back on everything, including charity. At the same time, more are turning to shluchim for inspiration and strength as they deal with salary cuts, job losses and foreclosure. Even during times of economic stability and growth, there are often people who are not able or willing to give monetary donations, but are able to provide goods and services either for free or significantly discounted.

GOODS AND SERVICES

Rabbi Asher Bronstein (*Merrimack Valley, Massachusetts*) explains that a donation of services is often more valuable than one monetary donation.

“About 12 years ago,” he begins, “I needed to obtain some metal sheeting for a *blech*. I contacted a roofing company because they often use metal sheeting. When I arrived, I noticed that the owner looked Jewish and had a Jewish-sounding surname. I asked him if he was Jewish and he answered that he was indeed Jewish but didn’t have much connection to Judaism or a Synagogue.

When I asked why, he explained, “I

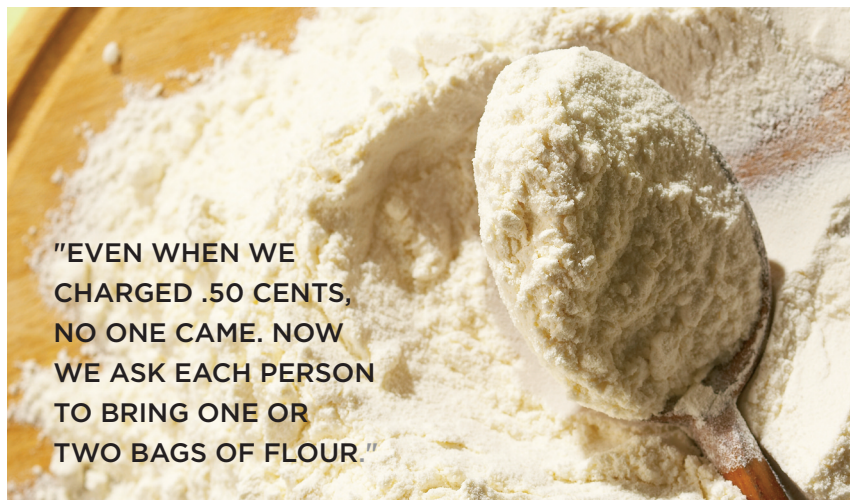
used to attend a Conservative temple. At that time, the temple decided to do extensive renovations and they asked all members of the congregation to contribute a certain amount toward the rebuilding. When I received a phone call requesting that I send in my contribution, I politely explained that I was unable to give the money—approximately \$5000—because my business was just starting up. Instead, I offered to donate the roof for the new temple—a gift worth more than the money they were requesting. They flatly refused and insisted upon the monetary contribution. That’s when I left the temple.

“This same man once told me, ‘Rabbi, if you ever need a roof, I’ll give you one.’ I kept the offer in mind for a while, but as time passed, I forgot. Three years ago, our Chabad House desperately needed a new roof so I called this man and asked him how much something like this would cost. He told me he’d send his men over to look at it and give me a quote. A few days later, I saw trucks pulling up at my Chabad House with supplies and laborers. I called the owner of the company in a panic because he had never gotten back to me with a price. He reminded me, ‘Rabbi, remember when I said I would give you a roof? Well, I’m giving you one now!’ This was a \$30,000 gift.

“Right now, we are building a new Chabad House. I approached a very well-known facilitator and asked him if he would consider working for us pro bono (for free). A facilitator is someone who knows the good architects, engineers and contractors in the area and knows which permits are needed and how they can be obtained. He said, ‘I’ve never done much charity work before, Rabbi, but now I’m in a position to do for your Chabad. I can do whatever you need and I’ll do it all pro bono.’ I then approached an architect and told him that the facilitator had agreed to donate his services to our project. When he heard this, the architect agreed to work for us pro bono too, as did an engineer.

“I am also hoping to get a good deal with the contractor. I would like to get the building materials donated, as well.

Rabbi Bronstein urges all shluchim to



pursue this avenue of fund-raising. “There are so many people in each community who will gladly donate goods and services; we need to tap into this resource.”

UNDERSTANDING THE CULTURE

For years, **Rabbi Mendel and Mrs. Mimi Liberow** (*Porto Alegre, Brazil*) have been looking for (and finding!) creative ways for their community to donate.

“In America, giving money to charity is a recognized value,” explains Rabbi Liberow. “Here in Southern Brazil, the concept is a foreign one. We would charge a ridiculously low amount for our programs—not even coming close to covering the real costs—but no one was willing to pay. Even when we charged 50 cents, no one came. Now, when we have women’s events, we ask each person to bring one or two bags of flour. Each woman happily comes with the flour! That is an expense we no longer have to be concerned with and it saves us considerable money.

“We had to learn to work with the culture and mentality of the people here,” Rabbi Liberow continues. “For them, giving money is a very difficult thing— not an idea they are used to. They are, however, glad to contribute items for our use. On Simchas Torah, the men all bring a bottle of vodka or whiskey. If we were to ask for a monetary contribution of the equivalent amount, we would probably never see that person in shul again. This way, we put away the bottles for use

throughout the year, and that is something we do not have to spend money on.

“We also have someone here who owns a children’s clothing store. At the end of each season, they call my wife to come and pick up anything that might fit our children. Our van was also given to us by someone in the community.”

SKILLS AND TIME

There are many ways people in the community can donate to your Chabad House without giving actual money. The key is to recognize what each person can best donate. “We have teenage girls who babysit for us on Shabbos morning so my wife can come to shul. The girls take turns for an hour at a time so that no one misses out altogether on being in shul,” explains one shliach. “In addition, we have people who offer to do gardening, painting, plumbing and handy work.”

Some shluchos who home-school their children are able to find community members who will teach their children a skill such as sewing, baking, scrap-booking, singing, dancing, acting or writing, all pro bono. Even asking people to come and help cook or set up the Chabad House for an event can save on money. And performers can be asked to donate a performance to an upcoming event or fundraiser.

“We always need to be looking for new resources in our fundraising,” says Rabbi Bronstein. “This is the way to capitalize on the current financial crisis.” 